

CENTRAL BANK INDEPENDENCE IS FACING ITS BIGGEST STRESS TEST OF THIS CENTURY

Central bank independence is not as hard-wired in modern institutions as they might appear to anyone born after the 1970s. That it went largely unchallenged in its first thirty years of history owes much to economic circumstances. But in today's world of supply shock-driven inflation and large public debts, central banks face a much harder task. A series of controversial decisions since the global financial crisis, and years of above-target inflation leaves them more vulnerable than ever to political attacks on their independence. It is imperative to defend it, as there will be large costs to pay if it is lost.

THE FIRST STRESS TEST IN OVER 30 YEARS

For anyone born after the 1970s, central bank independence has felt like part of the permanent architecture of modern governance. Like the separation of the branches of government or the between church and state, the idea that setting interest rates should be taken out of the hands of politicians became an unquestioned consensus across advanced democracies and, increasingly, beyond them.

Yet central bank independence is remarkably recent. For most of the twentieth century, treasuries and finance ministries dictated or heavily influenced monetary policy decisions to try and juice up growth ahead of elections or otherwise avoid painful decisions. Time and again, the lesson had to be re-learned: when politicians control the printing press, the result is chronic inflation and volatile growth^[1]. Over the past three decades, granting central banks operational autonomy became the global standard. To elected policymakers the setting of goals: always, price stability, sometimes a growth or full employment mandate alongside; to technocrats with long fixed terms in office the freedom to raise or lower borrowing costs as they saw fit, regardless of the political calendar.

For thirty years, this model enjoyed limited pushback. Not that central banking was easy. True, the so-called "Great Moderation" period (from the mid-1980s to the Global Financial Crisis of 2007-8) owed both to good luck (globalization keeping prices down and IT driving productivity up) and as to good policies. But there were still a multitude of crises to deal with — sovereign defaults, balance of payments crises, financial institutions going belly up, even before the GFC, and then a long period of below target inflation, followed by the most unexpected shock of all times: a global pandemic that shut down the global economy. Some central banks did better than others in meeting their assigned goals during these decades, and many central bank decisions were heavily criticized, but by and large, inflation wasn't a top-of-mind issue for the public, and (consequently?) central bank independence itself was just not questioned.

But that era is over. Today, central bank independence is facing the most dangerous stress test of its history, caught between the anvil of challenging economic circumstances and the hammer of political opportunism.

THE ECONOMIC ANVIL: HIGH PUBLIC DEBT AND SUPPLY SHOCKS

Central bank independence exists primarily to guard against two temptations from elected governments: inflating away runaway public debt (by printing money to buy the said debt) and choosing growth whenever there is a short-term tradeoff between it and price stability. For decades, advanced economies rarely had to confront either in extreme forms. Today, both have returned.

First is the sheer scale of sovereign debt. Across the G7, government debt-to-GDP ratios have surged to heights unseen outside of wartime and are generally on track to keep growing based on current policies (see Chart 1).

Public debts are at post war highs across the G7

General Government Gross Debt (% of GDP)

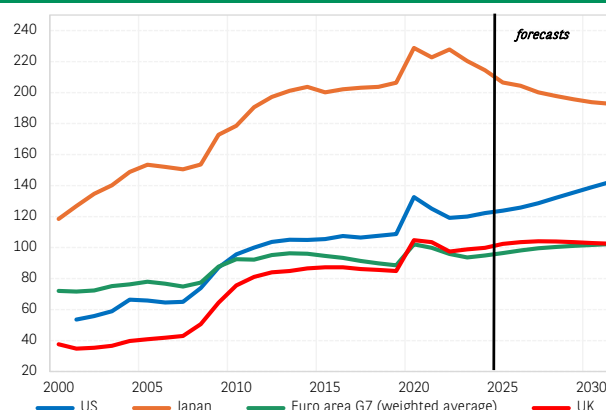


CHART 1

SOURCE: IMF, BNP PARIBAS

Long term interest rates are at multi-decade highs

DM 10-year government yields (%)

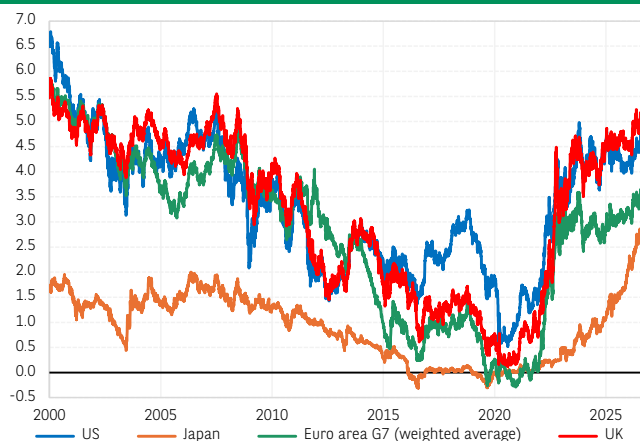


CHART 2

SOURCE: MACROBOND, BNP PARIBAS

When interest rates were very low, or well below the economy's growth rate, carrying this debt was relatively painless. But sovereign borrowing costs have skyrocketed in recent years (see Chart 2), owing to a combination of central bank policies and, more recently, greater competition for capital all across the global economy as both public and private sector face new investment needs (in defence, AI, supply chains risk-proofing) in addition to old ones (energy transition, ageing societies).



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Growing fiscal efforts are required to reduce debt/GDP ratios

"r minus g" - Difference between the effective interest rate on government debt and nominal growth rate (pp)

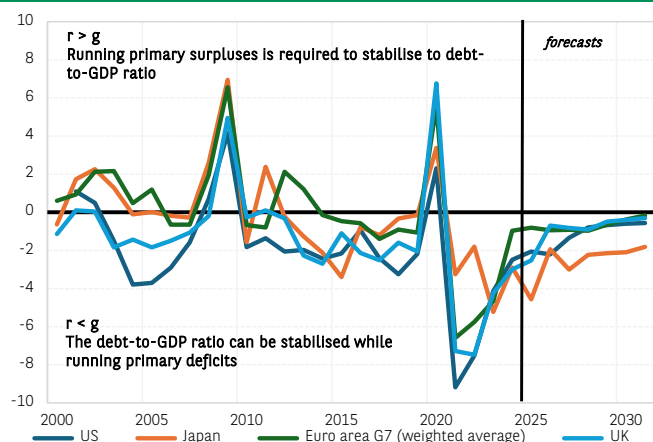


CHART 3

SOURCE: IMF, BNP PARIBAS CALCULATIONS

As growth rates have not, the fiscal effort needed to obtain a declining debt/GDP ratio is growing (see Chart 3).

Share of government debt with short-term residual maturity (% of outstanding)

	2000	2025
United States	35.0	35.4
Japan	-	13.4
Eurozone G7 (weighted average)	21.7	17.7
United Kingdom	6.7	6.3

CHART 4

SOURCE: ECB, NATIONAL SOURCES

This is the essence of "fiscal dominance", a scenario where the central bank is under pressure to lower interest rates or use its balance sheet to help fund government spending. Note that the more a government funds its debt at the short end of the yield curve, the more it is sensitive to central bank rate setting. As it happens, the average maturity of government debt has been falling across most G7 countries, especially in the US. And recent announcements by the US Treasury Secretary indicate plans to accelerate this trend through much higher buybacks of longer-dated debt to be financed by short-term debt issuance.

Second is the nature of today's inflation. From the 1980s to the COVID pandemic, inflation was driven by demand shocks, with excessive demand causing too high inflation and insufficient demand causing too low inflation. But more recently, price spikes have been driven by supply bottlenecks — whether stemming from geopolitical conflict, climate events, or health emergencies. We can expect this pattern of repeated and overlapping supply shocks to persist as long as today's perturbed geopolitical and natural environment.

When central banks act to protect price stability under these conditions, it is much harder for them to deliver a painless landing. Raising interest rates does not replace the missing goods; the best it can do is to prevent a wage-price spiral from taking hold. And while a credible central bank may not need to act much, they may still have to make decisions that directly hurt all borrowers — whether it be households, governments or businesses, making them easy targets for blame.

THE POLITICAL ASSAULT

If that wasn't challenging enough, the relative political consensus that once shielded central bankers from interference is showing cracks. This is the result of several waves of controversial decisions by central banks, first to help stabilise the financial system in the wake of the global financial crisis, then to fight inflation from below target with large balance sheet expansions to purchase financial assets during the second half of the 2010s^[2], and finally several years of inflation well above 2%.

In the United States, President Trump has been relentlessly attacking the Federal Reserve and its leadership out of anger that they have not cut interest rates more. Financial markets have been unsure whether the Chairman he appointed will deliver the policy tightening that appears likely to be needed to restore price stability. In Japan, political leaders have publicly urged the Bank of Japan to keep yields low to support the government's spending plans, complicating the bank's efforts to normalize policy. In both cases, markets have reacted by pushing the currency down and term premium up, acting as a guardrail for now. In response, Fed Chair Warsh's delivered a speech at the Jackson Hole Symposium last week that assuaged doubts about his commitment to price stability, for now.

But the erosion of institutional restraints is not confined to these countries. In the UK and Canada, prominent opposition party leaders have been virulent in their criticism of central bankers, framing them as unaccountable technocrats serving global financial elites at the expense of ordinary working citizens. Meanwhile in France, one of the leading candidates in the upcoming presidential election is advocating monetizing French public debt by having the euros system "cancel" the roughly 18% of it that it currently holds. This cannot happen as it would violate several fundamental legal underpinnings of the European Monetary Union^[3]. But any Eurozone government pushing for this would fundamentally undermine trust in its sovereign debt and in the euro, leading to a loss of value for both alongside borrowing costs—the same market reaction observed recently with US and Japanese government bonds and currencies, but on a much larger scale.

DEFENDING THE INSTITUTIONAL SHIELD

When a central bank is seen as not entirely free to do what is needed to deliver price stability, inflation expectations can become unanchored. Financial markets demand higher risk premiums, bond yields climb, and everyday borrowing costs from thirty-year mortgages to consumer credit and corporate loans rise, slowing down growth. With sovereign debt now traded predominantly by impatient investors like hedge funds rather than more patient ones like central bank reserve managers or pension funds, market reactions are brutal and could be unforgiving^[4]. Once lost, credibility takes not only time but action to restore, demanding a higher economic cost to restore price stability than would be the case under a fully credible central bank.

Independent central banks are not unaccountable, indeed the opposite. More than ever, they must actively explain their choices in plain, accessible language, demonstrating to the public why resisting instant pain relief today prevents systemic economic decay tomorrow.


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Simultaneously, business leaders, institutional investors, independent researchers and thoughtful policymakers, while free to comment and criticise, must stand as a vocal buffer against political encroachment. Central bank independence was never a natural law; it is an institutional compromise born out of painful experience. If we allow it to fail this stress test, there will be a heavy economic price to pay just around the corner.

Surrendering central bank autonomy will not solve structural budget deficits, lower grocery bills, or resolve geopolitical turmoil. It will simply remove a tried and tested institutional speed limit on short-sighted and ill-advised macroeconomic management.

Isabelle Mateos y Lago

[1] See for example [Central Bank Independence and Macroeconomic Performance: Some comparative evidence](#), Alberto Alesina and Lawrence Summers, 1993.

[2] This was dubbed "quantitative easing" and was adopted by most advanced economies' central banks to provide additional monetary easing after they had reached the point where they could not lower the policy rate further; While a large proportion of the financial assets purchased consisted of government bonds, these were exclusively driven by the needs of monetary policy as independently determined by these central banks.

[3] The principles of no debt monetization, no bail-out and central bank independence, set in Articles 123, 125 and 130 of the Treaty on the Functioning of the EU.

[4] See Bank of International Settlements, Annual [Economic Report 2026, Chapter II. High public debt and shifting financial markets: challenges for central banks](#)



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Exceptionally, this EcoWeek covers the developments of the past month rather than just the last week.

ADVANCED ECONOMIES

EUROZONE

Survey data are improving. The manufacturing PMI hit 52.8 in August (+0.9 pt), its highest since May 2022, driven by employment and new orders, with solid gains in both France and Germany. Services remain stable and healthy (51.7). Despite the ECB increasing its key interest rates in June for the first time in nearly three years, loans to households increased to 3.1% y/y in July, up from 3.0% in June. Loans to NFCs also rose to 4.4% y/y from 4%. Real GDP for Q2 was confirmed at 0.4% q/q while employment rose again (+0.1% q/q).

The European Commission Sentiment surveys were solid in August, corroborating the PMI data: the ESI rose for the fourth month running (+1.3 pt to 98.4) to above February's level. The industry, services and retail indices all recorded solid improvements, led by a notable upturn in the employment indices (especially in industry where the indices recorded the biggest m/m jump since July 2021, to a three-year high). Indices in construction remain weak though.

Inflation edged up in July but remains energy driven. Headline CPI rose to 2.9% y/y and core CPI to 2.5% y/y, both broadly in line with consensus. Input and output price indices fell again in August but are still well above their pre-Middle East conflict levels. Household inflation expectations eased to 2.9% at one year and remain anchored at 2.4% at five years. Negotiated wages slowed to 2.4% y/y in Q2 and labour costs to 3.0%, the lowest since late 2021. Producer prices decelerated sharply (+4.6% y/y from +5.9%), largely on falling energy prices.

These data keep the ECB on track for a rate hike in September, now fully priced by markets.

France

Weaker than expected growth in Q2 but Q3 data is net positive so far. GDP growth in Q1 was revised down from -0.1% to -0.2% and Q2 from 0.2% to 0%, reducing the growth carryover as of mid-year to 0.3% (from 0.5%). The main drivers are a downward revision of agricultural output and an upward revision of the services deflator. In parallel, households' purchasing power decreased by 0.6% q/q in Q2.

Nevertheless, household consumption of goods increased by 0.5% m/m in July, adding to positive data recorded earlier on the business climate – notably, the Banque de France August survey signaled good momentum in the industrial sector, while INSEE business climate improved to 98 in August (100 being its long-term average), driven by manufacturing (103; +2 m/m), and a services index back to 100 for the first time since October 2024. The signal from S&P flash PMI survey was more mixed. In all, our Nowcast suggests a recovery in Q3, to 0.3% q/q although the negative growth impact of the heatwaves and fires could be about -0.1pp.

Inflation increased as expected. August harmonized inflation increased to 2.7% y/y from 2.4% y/y in July mainly driven by higher energy prices (the previous peak was 2.8% in May). Producer prices went up from 2.8% y/y in June to 3.4% y/y in July

Germany

Positive growth momentum confirmed across the board. Q2 GDP growth was revised up to +0.3% q/q (from +0.2%) driven by stronger than expected exports. The Ifo August Business climate rose to 88.8 (+2.1pts), its highest in over a year, with manufacturers standing out as most optimistic, especially manufacturers of "textile", "computer, electronic and optical products, electrical equipment", "other transport equipment" and "other manufacturing" (riding the wave of investment in data centers, German manufacturers of electrical equipment and IT and electronics companies are particularly optimistic). August PMIs signaled continued expansion, with the composite index at 51 (-0.3 m/m) and manufacturing rising to 56.7 (+2 m/m), its highest level since early 2022. Input prices slowed down a bit (-0.2 m/m) while output prices index stayed at the same level it was in July and close to the June level. Services business activity stayed in contraction territory (-1.3 m/m to 48.5). However, a second successive slight uptick in new business and a renewed rise in employment in the sector are good signs.

UNITED KINGDOM

Solid growth and inflation tame enough to keep the BOE on hold for now. The UK economy grew by 0.4% q/q in Q2, a slight deceleration from the 0.6% seen in Q1. Growth was primarily supported by the services (+0.5%) and construction (+0.3%) sectors. In August, the Flash PMI Composite reached a four-month high of 52.5, with strength in services PMI at 52.8 (a 6-month high), while the manufacturing PMI eased to 51.

After hitting a 15-month low of 2.6% in June, headline CPI rose to 2.9% y/y in July. This uptick was primarily driven by a 13% surge in the household energy price cap. While services inflation eased to 3.4%, core inflation remained steady at 2.6%. Input prices fell 1.7% m/m (annual increase of 4.9%), while output prices rose 0.2% m/m (annual increase of 3.1%). August PMIs indicated that inflationary pressures resurged as input costs accelerated for the first time in four months. The Bank of England held the Bank Rate at 3.75% (3rd of August). The decision reflected a 6-3 split, with three members (including Chief Economist Huw Pill) advocating for a 25bp hike.

UNITED STATES

Sticky inflation dominates concerns amid resilient activity

Headline CPI inflation edged down to 3.4% y/y in July while core PCE, the Fed's preferred gauge, was unchanged at 3.3% y/y (in line with expectations). Headline CPI came down 0.1pp from June y/y thanks to energy prices. Core CPI inflation fell to 2.5% y/y (-0.1pp), its lowest since February 2025, with services remaining relatively sticky. PPI inflation also came in softer than expected, at 4.7% y/y (down 0.8pp, consensus: 4.9%). However, PCE inflation came in above expectations, accelerating to 0.2% m/m (prior and consensus: 0.1%) as the disinflationary impulse from energy faded (-1.5% m/m after -5.9% the month before). The annual rate held at 3.7% (consensus: 3.6%). Core PCE inflation was 0.3% m/m, up 0.1pp from June.

Activity undershot expectations but remains buoyant. GDP growth slowed to 1.5% annualized in Q2 (down from 2.1% in Q1), with the headline dragged down by negative contributions from net trade and



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government. However, consumer spending and business investment grew 4.4% AR, the fastest pace since Q1 2023. Industrial production advanced 0.2% m/m, below consensus expectations owing to a dip in the automotive component (-2.1% m/m). By contrast, the aerospace and electronics sectors remained solid growth drivers. However, capital goods orders excluding defence and aircraft, a proxy for private capex intentions, slowed markedly to 0.2% m/m in July (prior: 1.7%, consensus: 0.9%).

Poor payrolls but resilient labour market. Nonfarm payrolls came in well below expectations in July, contracting by -23k m/m (vs. consensus: 85k) – its first negative print since February – with the two prior months revised down a cumulative 103k. The drop was primarily driven by local government employment (down 57k), whereas private payrolls held steady at 30k. The unemployment rate, meanwhile, ticked down to 4.1% (down 0.1pp, consensus: 4.2%), driven entirely by a decrease in participation. Wage growth was soft; average hourly earnings rose just 0.1% m/m (-0.2pp), taking the annual pace to 3.2%, the lowest since 2021.

Fed credibility questioned, then restored, for now. While the late July FOMC press conference led to renewed questions about the Fed's commitment to its 2% inflation target (contributing to upward pressure on long-term bond yields and a weaker US dollar), the minutes of that meeting actually indicated healthy willingness to raise rates should inflation fail to decline, and the Fed Chair's speech at Jackson Hole further anchored this expectation. As a result, expectations of a rate hike on September 16 rose back from a trough of 35% to 55%.

Mini-trade war with Canada. Following a breakdown in US-Canada trade talks, tariffs of up to 50% are set to be implemented by Canada on 8 September on USD 20bn of US imports, in response to a similar measure announced by Washington. For now, only 5% on US-Canada trade is covered by these tariffs, but President Trump has since threatened to lift tariffs on Canadian cars to 50%. The White House has approved tariffs on drones and their components, ranging from 10–15% (incl. UK; EU) to 100% ("of a certain size or with certain capabilities particularly sensitive for national security purposes"). Additionally, the administration is reportedly considering an additional 7.5% tariff on goods from China due to "excess manufacturing capacity" and has announced the set-up of an "AI Detective Border" to tackle "transshipment"—that is, goods from China using alternative routes (countries) to circumvent higher tariffs.

Coming up: August Nonfarm Payrolls (Friday), August ISM Manufacturing (Tuesday) and Non-Manufacturing (Thursday), July JOLTS Job Openings (Tuesday), Fed Beige Book (Wednesday), July Trade Balance (Thursday).

JAPAN

GDP growth disappointing but resilient, while manufacturing strength persists. GDP advanced by 0.3% q/q in Q2, down from 0.4% in Q1 and well below expectations (0.5%). The softness stems mainly from a further slippage in business investment (down 1.2% q/q, following a 1% Q1 dip) and flat consumer spending. Foreign trade, driven by a decline in imports, contributed very positively. **Meanwhile, industrial production grew 1.9% m/m in June** (up 1.8pp). This largest monthly increase since January was driven by transportation equipment and electronics. The Manufacturing PMI rose to 55.1 (up 0.6 m/m) in August, with the new orders gauge hitting a 9-year high of 56.0 (up 1.6 m/m) driven by exports (56.2, up 2.6 m/m).

EMERGING ECONOMIES

Emerging countries have continued to weather the global energy shock relatively well. Activity has been resilient, helped by the surging demand for AI-related goods. The inflation rise remained temporary, and inflation eased in June and July in most countries. Average CPI inflation in EMs reached 6.1% y/y in July vs. 6.4% in June. Food price inflation has accelerated recently in a few countries (such as India, Egypt and Türkiye) while it remained negative in countries such as China, Poland and Hungary. Upside risks are high due to El Nino and recent heatwaves. EM financial markets have also withstood well the recent sell-off in developed bond markets. Since end-June, only Türkiye and Poland have faced a greater rise in LT domestic government bond yields than UST and Bunds.

ASIA

Central banks on pause, except Philippines and South Korea. Inflationary pressures have remained subdued or eased in Indonesia, Malaysia and Thailand, allowing their central banks to maintain relatively accommodative stances. In the Philippines, inflation has remained above target, prompting the BSP to raise policy rate further (+25bp to 5%). In South Korea, strong growth momentum and above-target inflation led the central bank to hike for a second consecutive month (+25bp to 3%).

China: Following the slowdown in July (industrial production: +4.5% y/y vs. +5.3% in June and services activity: +4.3% y/y vs. +4.7% in June), growth remained sluggish in August. Official PMIs stayed below 50 in both manufacturing (49.8 in August vs. 49.2 in July) and services (49.0 in July and August). On the demand side, export growth was still very strong (which drove the slight uptick in the manufacturing PMI) whereas retail sales barely increased during the summer (+0.1% y/y in volume in July).

EMERGING EUROPE

Monetary policy status quo over the summer; Hungary is the exception with its third consecutive policy rate cut.

LATIN AMERICA

Mixed growth performance: Brazil's economy lost momentum entering Q3. **Mexico** rebounded in Q2 (2.1% y/y) but entered Q3 on a softer footing. **Argentina's** recovery remains uneven, with most sectors outside mining and agriculture struggling. **Colombia** continued to grow strongly (3.5% y/y in Q2) on robust domestic demand, while **Chile** recorded a second consecutive quarter of contraction.

COMMODITIES

Stability for crude oil but growing price pressures on products and European gas. During August, the oil market managed to reach a precarious equilibrium, containing prices. Brent oil prices averaged 88 \$/b and end-of-month prices remained unchanged in August vs. July (around 89 \$/b). By contrast, **refined products markets are increasingly tense**, especially in the US where diesel crack spread reached more than 100 \$/b (August 22nd) for the first time ever. Meanwhile, **European gas prices (TTF) reached their highest since Jan 2023 at 67 €/MWh** (August 27th: +15% m/m, +74% compared to pre-war level), while European gas inventories remain at seasonally low levels. Average EU wholesale electricity prices rose sharply during August.



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MARKETS OVERVIEW

7

Bond Markets

	In %	In bps			
	28/08/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.89	+9.5	+14.7	+80.1	+96.8
Bund 5Y	2.99	+8.6	+16.2	+53.0	+79.7
Bund 10Y	3.24	+5.3	+16.1	+38.0	+58.8
OAT 10Y	3.99	+4.6	+18.4	+49.3	+50.4
BTP 10Y	4.06	+7.8	+19.6	+56.0	+50.9
BONO 10Y	3.69	+7.0	+17.6	+44.0	+45.5
Treasuries 2Y	4.34	+16.7	+6.8	+86.0	+64.8
Treasuries 5Y	4.48	+10.8	+11.9	+75.6	+80.2
Treasuries 10Y	4.72	-1.2	+12.0	+55.6	+3.2
Gilt 2Y	4.43	+3.6	+8.3	+67.8	+48.0
Treasuries 5Y	4.63	+3.0	+11.6	+77.8	+52.3
Gilt 10Y	5.15	-3.9	+12.2	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	28/08/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.16	+0.3	+2.1	-1.1	-0.4
GBP/USD	1.36	+0.2	+2.1	+0.9	+0.5
USD/JPY	159.86	+0.4	-2.4	+2.0	+8.8
DXY	99.70	+0.1	-1.7	+1.4	-0.5
EUR/GBP	0.86	+0.1	-0.1	-2.0	-0.9
EUR/CHF	0.94	-0.0	+0.6	+0.8	+0.2
EUR/JPY	185.78	+0.7	-0.4	+0.9	+8.3
Oil, Brent (\$/bbl)	89.40	-1.6	+6.2	+46.9	+30.2
Gold (\$/ounce)	4561	+3.2	+13.1	+5.5	+33.7

Equity Indices

	Level	Change, %			
	28/08/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World (\$)	4986	-0.4	+3.9	+12.5	+18.7
North America					
S&P500	7712	-0.4	+3.8	+12.7	+18.6
Dow Jones	53560	+0.2	+1.5	+11.4	+17.4
Nasdaq composite	26402	-0.9	+6.1	+13.6	+21.6
Europe					
CAC 40	8401	-2.1	-0.7	+3.1	+8.2
DAX 30	26570	+0.9	+4.3	+8.5	+10.5
EuroStoxx50	6486	-0.7	+3.1	+12.0	+20.2
FTSE100	10824	+1.0	-0.4	+9.0	+17.4
Asia					
MSCI, loc.	1985	-1.0	+3.7	+17.5	+25.5
Nikkei 225	66406	-4.1	+6.5	+31.9	+55.0
Emerging					
MSCI Emerging (\$)	1722	+0.7	+8.8	+22.5	+36.5
China	75	+0.2	+2.3	-9.0	-7.5
India	955	-0.3	+1.7	-9.7	-5.8
Brazil	1820	+3.7	-2.3	+10.5	+21.2

Performance by sector

Eurostoxx600

Year 2026 to 28-8, €

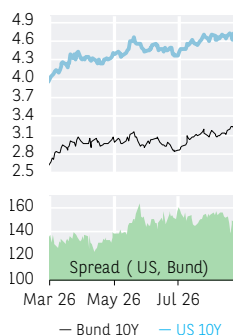
+30.8%	Oil & Gas
+30.6%	Commodities
+23.1%	Technology
+20.3%	Banks
+16.6%	Chemical
+13.9%	Industry
+11.8%	Financial services
+11.7%	Telecoms
+10.6%	Eurostoxx600
+10.2%	Utilities
+7.7%	Insurance
+2.8%	Retail
+1.7%	Food industry
+0.2%	Real Estate
-0.2%	Health
-0.3%	Travel & leisure
-1.2%	Construction
-1.9%	Media
-9.0%	Consumption Goods

S&P500

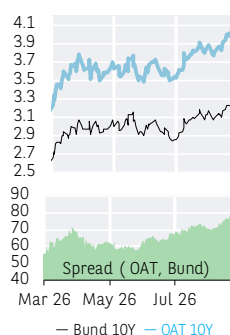
Year 2026 to 28-8, \$

+38.5%	Energy
+33.2%	Semiconductors
+30.1%	Tech. Hardware & Equip.
+17.5%	Pharmaceuticals
+16.5%	Materials
+15.7%	Capital Goods
+14.9%	Food, Beverage & Tobacco
+12.7%	S&P500
+9.4%	Bank
+9.1%	Consumer Discretionary
+6.4%	Insurance
+6.0%	Telecoms
+3.1%	Retail
+2.5%	Consumer Services
+0.9%	Media
-0.4%	Utilities
-0.6%	Commercial & Pro. Services
-1.2%	Healthcare
-20.0%	Automobiles
-23.5%	Real Estate

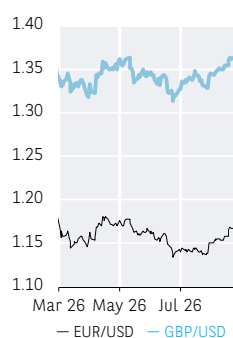
Bund 10Y & US Treas. 10Y



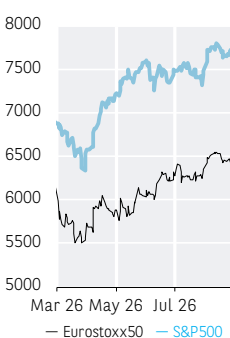
Bund 10Y & OAT 10Y



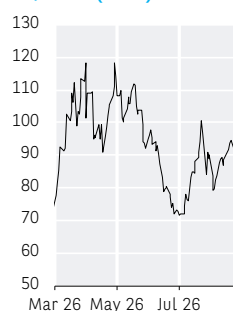
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500



Oil, Brent (\$/bbl)



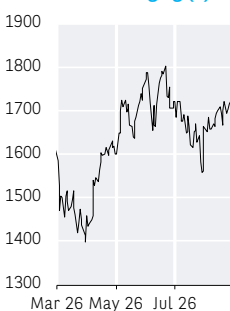
Gold (\$/ounce)



MSCI World (\$)



MSCI Emerging (\$)



SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

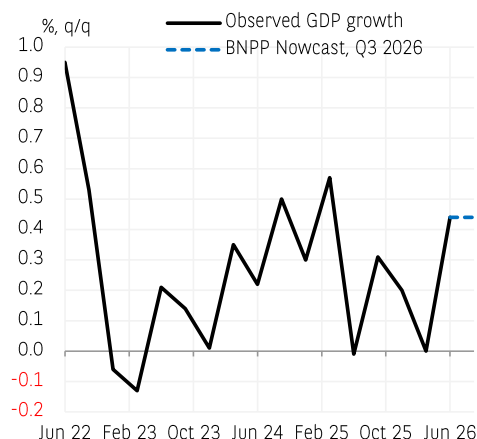

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The scenario, forecasts and nowcasts of the Economic Research – 31 August 2026

NOWCASTS OF THE ECONOMIC RESEARCH

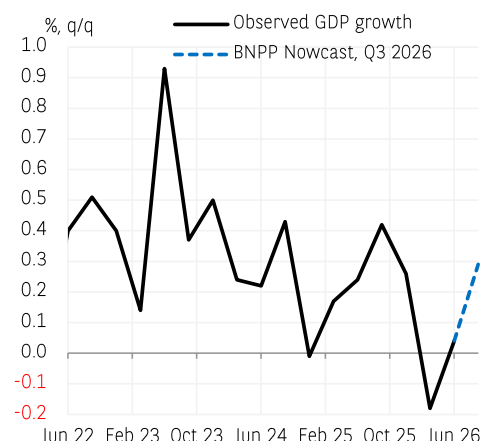
Eurozone



Source: Refinitiv, BNP Paribas

Our nowcasts for Eurozone growth point to resilient growth in Q3 (+0.4% q/q) driven by the improvement in the PMI surveys.

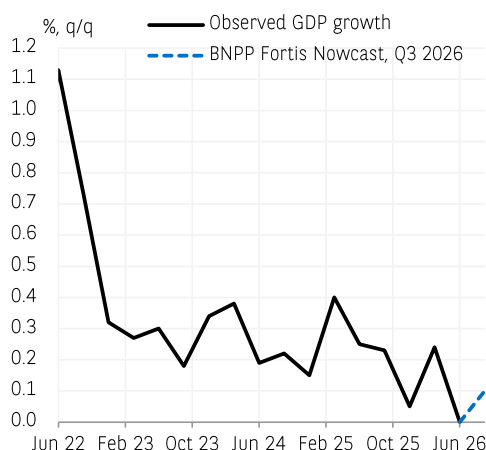
France



Source: Refinitiv, BNP Paribas

Our nowcast for French GDP growth suggests a recovery in Q3 2026, at +0.3% q/q, albeit the impact of the heat wave on agricultural production is a downside risk.

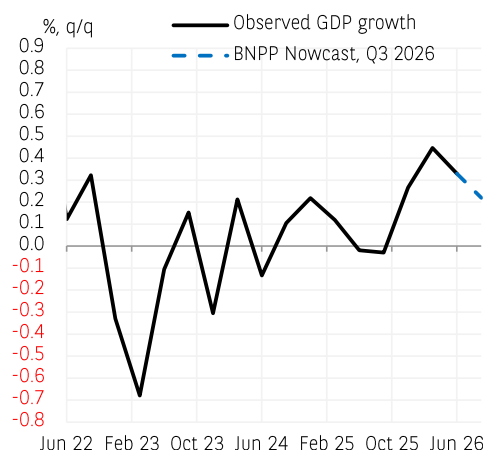
Belgium



Source: Refinitiv, BNP Paribas Fortis

Our nowcast for Belgium GDP growth suggests a mere growth performance in Q3 (0.1% q/q, after 0% in Q2). The business climate is low, as inflation pressures bind.

Germany



Source: Refinitiv, BNP Paribas

Our Germany nowcast indicates that growth should slow slightly in Q3 to +0.2% (after +0.4% in Q1 and +0.3% in Q2). It is expected to remain supported by exports. Industrial production remains strong at the start of the quarter but could be affected by the weather conditions recorded in August.

Read the [Nowcast methodology](#)
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ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth				Inflation			
	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2.8	2.1	2.2	2.5	2.9	2.7	3.3	2.4
Japan	-0.2	1.1	0.9	1.2	2.7	3.1	2.0	2.5
United Kingdom	1.0	1.4	1.2	1.2	2.5	3.4	3.2	3.2
Euro Area	0.9	1.5	0.9	1.6	2.4	2.1	2.7	2.6
Germany	-0.5	0.3	1.0	1.0	2.5	2.3	2.6	2.7
France	1.1	0.9	0.5	1.1	2.3	0.9	2.2	1.6
Italy	0.6	0.7	0.9	0.8	1.1	1.6	2.5	1.9
Spain	3.5	2.8	2.6	2.2	2.8	2.7	3.6	3.3
China	5.0	5.0	4.6	4.5	0.2	0.0	1.3	1.6
India*	7.1	7.7	6.7	6.9	4.6	2.1	5.0	4.6
Brazil	3.4	2.3	2.3	1.4	4.4	5.0	4.5	4.8

Source : BNP Paribas (e: Estimates & forecasts)

Last update: 31/08/2026

* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026			2027
		Spot 28/08	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	4.00	4.50
	T-Note 10y	4.72	4.65	4.75	4.85
Eurozone	deposit rate	2.25	2.50	2.50	2.50
	Bund 10y	3.24	3.20	3.35	3.10
	OAT 10y	3.99	4.00	4.17	3.60
	BTP 10y	4.06	3.95	4.10	3.60
UK	BONO 10y	3.69	3.64	3.79	3.42
	Base rate	3.75	4.00	4.00	3.50
	Gilts 10y	5.15	4.60	4.50	4.30
Japan	BoJ Rate	1.00	1.25	1.50	2.00
	JGB 10y	2.91	2.85	2.85	3.10

Exchange Rates		2026			2027
		Spot 28/08	Q3	Q4	Q4
USD	EUR / USD	1.16	1.15	1.16	1.20
	USD / JPY	160	163	165	165
	GBP / USD	1.36	1.32	1.32	1.36
EUR	EUR / GBP	0.86	0.87	0.88	0.88
	EUR / JPY	186	187	191	198

Brent		2026			2027
		Spot 28/08	Q3	Q4	Q4
Quarter Average					
Brent	USD/bbl	89	72	78	79

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy). Last update: 31/08/2026

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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.2%, close to the 2025 rate (2.1%). This apparent resilience to energy, uncertainty and tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.3% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, we expect the FOMC to start a cycle of three rate hikes (+25pb each) before the end of 2026, bringing the Fed Funds target range at 4,25% - 4,50% in Q1 2027.

CHINA

Economic growth slowed to 4.3% y/y in Q2 2026 vs. 5.0% in Q1. It is projected to reach 4.6% in 2026 as a whole, down from 5% in 2025. Growth remains characterized by a K-shaped trajectory, and the gap between the strong performance of exports and the fragility of sectors that rely on domestic demand has even widened this year. Domestic demand rebounded in the first two months of 2026 but has weakened significantly since March. The crisis in the property sector continues and household confidence remains low. Fiscal policy measures aimed at supporting economic growth are expected to increase in the second half of the year. CPI inflation rebounded slightly in H1 2026, mostly due to the rise in global energy prices, as well as due to the increase in electronic good prices and anti-involution measures implemented by the authorities. Deflationary pressures persist, however, given weakness in domestic demand.

EUROZONE

Eurozone growth would slow to 0.9% in 2026 due to a weak Q1 (mainly due to the volatility of Ireland's GDP data), but quarterly activity is expected to be solid in the following quarters (+0.4% q/q in Q3 and Q4 2026), despite the Middle East conflict. Growth would then pick up at 1.6% in 2027. We expect the euro area to withstand the energy shock, supported by investment in defence, AI, and electrification, which should continue to boost intra-EU trade. Inflation would rebound to 2.7% in 2026 (compared to 2.1% in 2025) on the back of the energy shock and would plateau at 2.6% in 2027. As inflation rebounds, our baseline is for one further 25-basis-point hikes in the ECB's policy rate in Q3 2026 – pushing the deposit facility rate to 2.5% – but risks are clearly skewed towards one more hike.



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FRANCE

GDP growth remained low in Q2 (0% after -0.2% in Q1) as a result of deteriorated agricultural and construction output, as well as higher inflation (2.2% in 2026 according to our forecast, after 1% in 2025). In 2026, GDP growth should reach 0.5% (after 0.9% in 2025), driven mainly by exports.

UNITED KINGDOM

UK GDP growth is expected to ease slightly to 1.2% in 2026 from 1.3% in 2025. Activity proved more resilient than expected in H1, expanding by 0.6% q/q in Q1 and 0.4% in Q2, leaving a statistical carry-over of around 1.1% y/y if output remains at its June level. Services remained the main growth driver, while Q2 also benefited from temporary factors, including favorable weather and the World Cup. The outlook appears much weaker for H2, with quarterly growth expected to remain subdued as higher energy prices, weaker purchasing power, tighter monetary policy and political tradeoffs should weigh on activity. Renewed energy-related inflationary pressures are expected to push inflation to 3.2% on average in 2026, reaching 3.8% in Q4 and peaking at around 4% in Q1 2027. Inflation should remain above target at 3.2% in 2027, prompting a 25bp BoE rate hike in H2 2026. Ten-year gilt yields should remain elevated in 2026 before falling to around 4.30% in 2027, supported by lower net supply, easing political risk premia and markets gradually pricing BoE rate cuts.

JAPAN

We expect annual GDP growth to stand at 0.9% in 2026, down from 1.2% in 2025. Higher inflation and production costs associated with the energy shock are expected to weigh on the economy's overall performance. On the other hand, the latter is supported by fiscal policy and AI-related investment. Inflation has generally overshoot the 2% y/y target since 2022. Accordingly, the Bank of Japan initiated a cautious process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 1.0% so far (previously negative) – the highest since 1995. We expect three hikes by the end of Q1 2027, followed by a return to a more cautious pace until the terminal rate of +2.5% is reached in H2 2028.. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

In our base-case scenario (gradual normalisation of the Middle East situation with persistent price tensions), we expect the USD depreciation against the EUR to resume, albeit very gradually, amid broader diversification away from the dollar. We forecast EUR/USD to reach 1.16 by Q4 2026 and 1.20 by Q4 2027. We anticipate a depreciation of the yen and the GBP against the dollar in 2026 (USD/JPY 165 and GBP/USD 1.32 by Q4 2026) and 2027.

